6. Real account deals with
   (a) Individual persons (b) Expenses and losses
   (c) Assets (d) Incomes and gains

7. Which one of the following is representative personal account?
   (a) Building A/c (b) Outstanding salary A/c
   (c) Mahesh A/c (d) Balan & Co

8. Prepaid rent is a
   (a) Nominal A/c (b) Personal A/c
   (c) Real A/c (d) Representative personal A/c

9. Withdrawal of cash from business by the proprietor should be credited to
   (a) Drawings A/c (b) Cash A/c
   (c) Capital A/c (d) Purchases A/c

10. In double entry system of book keeping, every business transaction affects
   (a) Minimum of two accounts (b) Same account on two different dates
   (c) Two sides of the same account (d) Minimum three accounts

Answers

1. (d)	2. (a)	3. (d)	4. (c)	5. (a)	6. (c)	7. (b)	8. (d)	9. (b)	10. (a)

II Very short answer questions

1. What are source documents?
2. What is accounting equation?
3. Write any one transaction which
   a) Decreases the assets and decreases the liabilities
   b) Increases one asset and decreases another asset
4. What is meant by journalising?
5. What is real account?
6. How are personal accounts classified?
7. State the accounting rule for nominal account.
8. Give the golden rules of double entry accounting system.

III Short answer questions

1. Write a brief note on accounting equation approach of recording transactions.
2. What is an Account? Classify the accounts with suitable examples.
3. What are the three different types of personal accounts?
4. What is the accounting treatment for insurance premium paid on the life of the proprietor?
5. State the principles of double entry system of book keeping.
6. Briefly explain about steps in journalising.
7. What is double entry system? State its advantages.

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